CASE STUDY · SPY VOLATILITY MANAGED

# The best t-stat of the desk. It's SPY.

A strong Sharpe is not an edge until you've taken the market out.

25 Oct

ECONOMIST

**The idea.** Hold SPY, scaled down when last month was volatile, up when it was calm. Moreira and Muir: volatility-managed portfolios.

25 Oct

DEVELOPER · ANALYST

**Level: t 2.72 before the test.** The strongest of the desk. Alpha over SPY and its trend twins: t 1.49, a label.

2021 → 2026

SEALED TEST

**Zone confirms. Paper only.** Level t 3.49 over 20 years, but alpha t 1.95, under 2.

10 Nov

PORTFOLIO MANAGER

**What it really is.** The regression on every market at once.

SEALED TEST, 2021 TO 2026, MONTHLY SHARPE

## Barely better than just holding SPY.




THE PM'S REGRESSION, MONTHLY, 2021 TO 2026

## 85% of its moves are the market.

**0.85**

$R^2$ on SPY, bonds, dollar, gold, BTC

**+0.54**

beta to SPY, t 7.7

**−0.4%**

alpha a year, t −0.2

Not a bad strategy. Just not an edge. Know what you own.